

RESEARCH REVIEW

A 2002 working paper by Terrance Odean and Brad Barber, entitled “All That Glitters: The Effect of Attention and News on the Buying Behavior of Individual and Institutional Investors,”³ asks a simple question: how do investors choose the stocks that they buy? Odean and Barber tested the proposition that individual investors buy stocks that happen to catch their attention. In this work, Odean and Barber pointed out that when buying stocks, investors are faced with a formidable decision task because there are over 7,000 U.S. common stocks from which to choose. They proposed that investors manage the search problem by limiting their search to stocks that have recently caught their attention. They tested the hypothesis that individual investors are more likely to be net buyers of attention-grabbing stocks than are institutional investors by looking at three indications of how likely stocks are to catch investors’ attention: (1) daily abnormal trading volume, (2) daily returns, and (3) daily news. They examined the buying and selling behavior associated with abnormal trading volume for four samples of investors:

1. Investors with accounts at a large discount brokerage.
2. Investors at a smaller discount brokerage firm that advertises its trade execution quality.
3. Investors with accounts at a large retail brokerage.
4. Professional money managers.

As news agencies routinely report the prior day’s big winners and big losers, stocks that soar or dive catch people’s attention. As predicted, Odean and Barber found that individual investors tend to be net buyers on high attention days: Investors at the large discount brokerage made nearly twice as many purchases as sales of stocks experiencing unusually high trading volume (e.g, the highest 5 percent). They also found that attention-driven investors tend to be net buyers of companies on days that those companies are in the news (see Figure 13.1).

Odean and Barber also found that professional investors are less likely to indulge in attention-based purchases. With more time and resources, professionals are able to continuously monitor a wider range of stocks and they are unlikely to consider only attention-grabbing stocks. Furthermore, many professionals may solve the problem of searching through too many stocks by concentrating on a particular sector or on stocks that have passed an initial screen. Perhaps the most important and relevant finding is that